

Market Research Report

Digital Transformation Adoption in Mid-Market Manufacturing — North America, 2026

Prepared by: CRCG Insights Team | Publication Date: January 2026

Executive Summary

This report synthesizes CRCG's proprietary engagement data alongside third-party industry survey sources to assess digital transformation adoption trends among North American mid-market manufacturers (defined here as \$50M–\$1B annual revenue). Key findings indicate that while digitization budgets have grown industry-wide, execution remains the primary bottleneck: CRCG's internal benchmarking across 34 manufacturing engagements completed since 2019 shows that 71% of digitization initiatives launched without a dedicated change management workstream failed to reach planned production scale within the original timeline.

1. Market Sizing and Growth

Industry survey data (third-party, not independently verified by CRCG) estimates the North American mid-market manufacturing digitization spend at approximately \$18.4 billion in 2025, growing at a projected 12.6% CAGR through 2028. Predictive maintenance and plant-floor digitization (the category most closely aligned with CRCG's OE-210 offering) represent the fastest-growing sub-segment, reflecting continued labor shortages in skilled maintenance roles across the sector.

2. Adoption Barriers

Barrier	% of Surveyed Manufacturers Citing as Top-3 Barrier
Legacy equipment incompatible with modern sensors/IoT	58%
Insufficient internal data/analytics talent	51%
Unclear ROI / difficulty building business case	44%
Shop-floor workforce resistance to change	39%
Cybersecurity concerns connecting OT to IT networks	33%

CRCG's own engagement experience is broadly consistent with these findings; the Atlas Manufacturing engagement, for example, encountered legacy equipment compatibility challenges on its oldest production line (Line 2) that required a custom sensor retrofit rather than off-the-shelf IoT hardware.

3. Technology Adoption Curve

Survey respondents were segmented into four adoption stages. CRCG's internal client base skews more advanced than the broader survey population, consistent with the firm's positioning as a specialist rather than a generalist consultancy.

Adoption Stage	% of Industry Survey Respondents	% of CRCG Manufacturing Clients (2026 snapshot)
Stage 1: Manual / paper-based processes	29%	6%
Stage 2: Basic digitization (spreadsheets, isolated systems)	34%	19%
Stage 3: Connected systems, limited predictive capability	27%	44%
Stage 4: Predictive / prescriptive analytics in production use	10%	31%

4. Implications for CRCG's Service Strategy

- Continued investment in change management capability (People & Change practice) is warranted given the strong correlation between dedicated change workstreams and initiative success observed in CRCG's internal data.
- Cybersecurity-adjacent capability (OT/IT network segmentation expertise) represents a potential practice expansion area, given 33% of surveyed manufacturers cite this as a top-3 barrier and CRCG currently subcontracts this capability on an as-needed basis.
- Mid-market manufacturers in the Stage 2 adoption bracket represent the largest near-term pipeline opportunity for the OE-210 Plant Floor Digitization offering.

Methodology Note

Third-party survey data referenced in this report was licensed from an industry research provider and reflects a survey of 412 North American mid-market manufacturers conducted in Q3 2025. CRCG internal benchmarking data reflects engagements completed between January 2019 and December 2025 and has not been independently audited. Figures in this report should not be cited externally without consultation with the CRCG Insights Team, as methodology and sample composition may differ from prior published editions of this report.